

Counsel seeks a 0.2% multiplier. The justification for this multiplier is inadequate. This appears to a run-of-the-mill Song-Beverly matter. Although it was litigated more than so may be, that in itself is not reason for a multiplier. A two year case length is actually relatively short comparatively.

Finally, counsel seeks \$6,283.30 for costs. All costs appeared to the Court to be reasonable and recoverable *except* the August 29, 2024 cost for \$210, as the invoice shows it related to a different case in a different county.

The Court therefore awards a total of **\$44,901.80** in fees and **\$6,073.30** in costs.

4. 9:00 AM CASE NUMBER: C24-01458
CASE NAME: KHOI SENDEROWICZ VS. SPECIALIZED LOAN SERVICING, LLC
1ST AMENDED COMPLAINT
FILED BY: SPECIALIZED LOAN SERVICING, LLC
TENTATIVE RULING:

Before the Court is Defendant Specialized Loan Servicing, LLC and Defendant NewRez, LLC dba Shellpoint Mortgage Servicing fka Specialized Loan Servicing, LLC (collectively, “Defendants”)’s Demurrer. The Demurrer relates to Plaintiff Khoi Senderowicz (“Plaintiff”)’s First Amended Complaint for (1) Violations of Real Estate Settlement Procedures Act; (2) Violations of California Civil Code § 2924 et seq.; (3) Laches, Abandonment, and Equitable Estoppel; (4) Breach of Written Contract; (5) Breach of Implied Covenant of Good Faith and Fair Dealing; (6) Unfair Business Practices; (7) Negligent Loan Servicing; (8) Intentional Infliction of Emotional Distress; (9) Violation of Rosenthal Fair Debt Collection Practices Act; and (10) Declaratory Relief.

For the following reasons, the Demurrer is **sustained** both with and without leave to amend, as described further below.

Judicial Notice

Defendants request judicial notice of several recorded documents. Judicial notice may be taken of “the fact of a document’s recordation, the date the document was recorded and executed, the parties to the transaction reflected in a recorded document, and the document’s legally operative language, assuming there is no genuine dispute regarding the document’s authenticity. From this, the court may deduce and rely upon the legal effect of the recorded document, when that effect is clear from its face.” (*Fontenot v. Wells Fargo Bank, N.A.* (2011) 198 Cal.App.4th 256, 265 disapproved on another point by *Yvanova v. New Century Mortgage Corp.* (2016) 62 Cal.4th 919.) The Court **grants** judicial notice of Exhibits 1 through 8 and exhibits 10 and 11.

With respect to the Defendants’ request for judicial notice of Exhibit 9 (a newspaper article from SFGATE), it is unclear whether the fact that a particular newspaper published an article on a particular subject on a particular date is either “of such common knowledge within the territorial jurisdiction of the court that they cannot reasonably be the subject of dispute” (Evid. Code, § 452, subd. (g)) or “are

not reasonably subject to dispute and are capable of immediate and accurate determination by resort to sources of reasonably indisputable accuracy” (*id.*, subd. (h)). (Compare *People v. Massie* (1998) 19 Cal. 4th 550, 566, fn. 4 [denying request to take judicial notice of newspaper articles] and *People v. Ramos* (1997) 15 Cal. 4th 1133, 1167 [affirming refusal to take judicial notice] with *Norgart v. Upjohn Co.* (1999) 21 Cal. 4th 383, 408, [taking judicial notice that a “controversy” had arisen in the popular press, without specifying the media involved], *People v. Hardy* (1992) 2 Cal. 4th 86, 174, fn. 24 [taking judicial notice of newspaper articles], and *People v. Jurado* (1981) 115 Cal. App. 3d 470, 482 [same].) Under Evidence Code section 452, subdivision (h), the Court has discretion whether to take judicial notice of this article. The Court declines to do so. The motion for judicial notice is **denied** in part, as to exhibit 9.

Legal Standard

“The function of a demurrer is to test the sufficiency of the complaint as a matter of law.” (*Holiday Matinee, Inc. v. Rambus, Inc.* (2004) 118 Cal.App.4th 1413, 1420.) A complaint “is sufficient if it alleges ultimate rather than evidentiary facts” (*Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550 (“*Doe*”)), but the plaintiff must set forth the essential facts of his or her case “with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent” of the plaintiff’s claim. (*Doheny Park Terrace Homeowners Assn., Inc. v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1099.) Legal conclusions are insufficient. (*Id.* at 1098–1099; *Doe* at 551, fn. 5.) The Court “assume[s] the truth of the allegations in the complaint, but do[es] not assume the truth of contentions, deductions, or conclusions of law.” (*California Logistics, Inc. v. State of California* (2008) 161 Cal.App.4th 242, 247.)

Analysis

1. Violations of Real Estate Settlement Procedures Act (RESPA)

Defendants demur to this cause of action on the grounds that it lacks particularity, none of the cited Regulation provisions govern Plaintiff’s loan, section 1024.38 confers no private right of action, it is barred by the three-year statute of limitations, and RESPA and TILA do not apply to credit transactions for business or commercial purposes.

As Defendant notes, federal courts have recognized section 1024.38 does not provide a private right of action but rather is to be enforced by government regulators. (See, e.g., *Courtois v. Shellpoint Mortg. Servicing, LLC* (C.D. Cal. 2020) 2020 U.S. Dist. LEXIS 104468 at *3 [“[Section] 1024.38 does not provide a private right of action”]; see also *Moore v. Wells Fargo Bank, N.A.* (N.D. Cal. Aug. 28, 2023) 2023 WL 5538268, at p. *4 (“this section does not create a private right of action”); *Joussett v. Bank of Am., N.A.* (E.D. Pa. Oct. 6, 2016) 2016 WL 5848845, at p. *5 (quoting 78 Fed. Reg. at 10,697-98) (“The Bureau...will be able...to assure compliance with these requirements but there will not be a private right of action to enforce these provisions”); *In re Wells Fargo Forbearance Litigation* (N.D. Cal. May 2, 2023) 2023 WL 3237501, at p. *5 (same); *Courtois v. Shellpoint Mortgage Servicing, LLC* (C.D. Cal. May 26, 2020) 2020 WL 13586024, at *1 (“numerous other courts have concluded that 12 C.F.R. § 1024.38 does not provide a private right of action”); and *Austerberry v. Wells Fargo Home Mortgage* (E.D. Mich. Dec. 7, 2015) 2015 WL 8031857, at *5 (“while Plaintiff is protected by § 1024.38(b)(2), she lacks a private right of action to enforce [it]”).

Although the unpublished federal district court cases Defendants cite are not binding, the Court nonetheless finds them persuasive and instructive in interpreting the federal regulation at issue.

Moreover, Plaintiff does not address this ground in her opposition. (*Herzberg v. County of Plumas* (2005) 133 Cal.App.4th 1, 20 [noting a plaintiff's failure to oppose a demurrer to a cause of action or portion thereof constitutes an abandonment of the issue or claim].)

Plaintiff also fails to meaningfully engage with Defendants' argument that none of the cited Regulation X provisions govern Plaintiff's loan. Specifically, that Regulation X Subpart C (12 C.F.R. §§ 1024.30-1024.41), applies only "to any mortgage loan, as that term is defined in § 1024.31" and that Section 1024.31 defines "mortgage loan" to exclude "open-end lines of credit (home equity plans)." (Demurrer at 12:2-5.) Plaintiff's argument that her allegation that "RESPA and its implementing regulations were in full force and effect and applied to Defendants' servicing of Plaintiff's HELOC" must be accepted as true for purposes of demurrer is incorrect. (See *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318 ["We treat the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law."].) Home equity plans are expressly excluded from Regulation X.

Because these defects cannot be cured by amendment the Defendants' demurrer to the first cause of action for violation of RESPA is **sustained**, without leave to amend.

2. Violations of California Civil Code § 2924 et seq.

Defendants demur to the second cause of action on the grounds that the claim is moot because a Notice of Rescission was recorded on March 10, 2025 and Plaintiff no longer owns the property. Defendants also demur on the grounds that § 2924c does not give borrowers the right to sue for damages, HBOR does not apply to the HELOC, which is a second-position deed of trust, the FAC fails to allege the statutory trigger condition (when buyer pays "the entire amount then due"), Plaintiff cannot show a violation because a Notice of Rescission was recorded, and Plaintiff concedes default by challenging only a portion of the arrears amount stated in the Notice of Default.

As a threshold issue, HBOR does not apply to the HELOC in this case. On its face, the FAC alleges that the HELOC is a second lien. (FAC at ¶ 7.) Judicially noticeable documents also confirm that the HELOC is a recorded second-position lien. (RJN Exs. 1, 4.) Pursuant to Civil Code section 2924.15 subdivision (a), "paragraph (5) of subdivision (a) of Section 2924 and Sections 2923.5, 2923.55, 2923.6, 2923.7, 2924.9, 2924.10, 2924.11, and 2924.18 shall apply only to a first lien mortgage or deed of trust that is secured by owner-occupied residential real property containing no more than four dwelling units."

Because this defect cannot be cured by amendment, the Defendants' demurrer to the second cause of action for violations of Civil Code § 2924 is **sustained**, without leave to amend.

3. Laches, Abandonment, and Equitable Estoppel

Defendants demur to this cause of action on the grounds that laches is an affirmative defense, not a cause of action, equitable estoppel is not an independent cause of action, and California does not recognize "abandonment" of a security interest as a freestanding cause of action against a beneficiary or servicer.

In opposition, Plaintiff argues that "[t]o the extent the Court agrees, Plaintiff respectfully requests leave to amend to fold the factual allegations supporting this cause of action ... into the Tenth Cause of Action for Declaratory Relief[.]" (Opp. at 5:15-19.) However, as discussed further below, Plaintiff did not oppose Defendants' demurrer to the declaratory judgment cause of action.

Plaintiff fails to engage with the merits of Defendants' argument. The Demurrer Plaintiff's third cause of action for laches, abandonment, and equitable estoppel is **sustained**, with leave to amend.

4. Breach of Written Contract (HELOC Agreement)

Defendants demur to this cause of action on the grounds that neither Defendant is a party to the HELOC, the FAC does not plead the contract, the statute of frauds precludes Plaintiff's alleged "unilateral" maturity date change theory, and Plaintiff does not plead her own performance under the HELOC.

Plaintiff fails to engage with Defendants' threshold argument that they are not a party to the HELOC. She argues, without authority, that "[h]aving stepped into the servicing relationship and exercised its rights and obligations, a servicer may be held to the terms of the underlying agreement it purports to enforce." (Opp. at 5:27-28.)

Federal courts applying California law have dismissed the notion that loan servicers, as agents for the holder of the loan, are parties to deeds of trust or the mortgage, or that a loan servicer is in privity with the holder of the loan. (See, e.g., *Conder v. Home Savings of America* (C.D. Cal. 2010) 680 F.Supp.2d 1168, 1174 ["The fact that Aurora [servicer] entered into a contract with HSA [mortgagee] to service Plaintiff's loan does not create contractual privity between Aurora and Plaintiff"]; *Lombay v. SCME Mortg. Bankers* (N.D. Cal. May 26, 2009, No. C-9-1160 SC) 2009 U.S. Dist. LEXIS 44158 at p. 14 ["a loan servicer . . . is not a party to the Deed of Trust itself"]; *Connors v. Home Loan Corp.* (S.D. Cal. May 9, 2009, Civ. No. 08cv1134) 2009 U.S. Dist. LEXIS 48638 at p. 17 ["Plaintiff has failed to assert or differentiate the roles and functions of defendants [servicer] ASC and [mortgagee] US Bank. . . . If ASC is a loan servicer, ASC is not a party to the Deed of Trust itself"].)

The Court is persuaded by the above authority. Neither Defendant servicer is directly identified as a party to the deed of trust, which states only that "Trustor agrees that all payments under the Secured Debt will be paid when due and in accordance with the terms of the Secured Debt and this Security Instrument." (RJN Ex. 1 at ¶ 5.) The deed of trust specified the "Lender" (National City Bank) as being responsible for application of payments made by the borrower. A lender may delegate tasks to a servicer without establishing privity of contract between the servicer and the mortgagor, and thereby rendering the servicer liable for breach of contract. "[A]n agent cannot be held liable for breach of a duty which flows from a contract to which he is not a party." (*Filippo Industries, Inc. v. Sun Ins. Co.* (1999) 74 Cal.App.4th 1429, 1443.)

Defendants' demurrer to Plaintiff's fourth cause of action for breach of contract is **sustained**, with leave to amend.

5. Breach of Implied Covenant of Good Faith and Fair Dealing

Defendants demur to this cause of action on the grounds that neither Defendant is a party to the HELOC, Plaintiff fails to plead her performance, the contractual provisions are not pled, and the statute of frauds bars her theory. Defendants demur on the additional grounds that this cause of action is duplicative of Plaintiff's breach of contract claim.

The covenant of good faith and fair dealing is implied by law in every contract and exists to prevent one contracting party from unfairly frustrating the other party's right to receive the benefits of the agreement. (*Guz v. Bechtel National, Inc.* (2000) 24 Cal.4th 317, 349-350.) The "covenant is implied as a supplement to the express contractual covenants, to prevent a contracting party from engaging in conduct that frustrates the other party's rights to the benefits of the agreement." (*Waller v. Truck Ins. Exchange, Inc.* (1995) 11 Cal.4th 1, 36.) "Breach of the covenant of good faith and fair dealing gives rise to a contract action ... or, in limited contexts, a tort action with the tort measure of compensatory damages and the right to recover punitive damages" (1 Witkin, Summary of Cal. Law (10th ed.

2005) Contracts, § 800, p. 894, citations & italics omitted.)

Plaintiff's failure to allege a predicate contract is fatal to her claim for breach of the implied covenant of good faith and fair dealing. Defendants' demurrer to Plaintiff's fifth cause of action for breach of the implied covenant of good faith and fair dealing is **sustained**, with leave to amend.

6. Unfair Business Practices (§ 17200)

Defendants demur to this cause of action on the grounds that Plaintiff lacks standing and the FAC fails the "reasonable particularity" standard for UCL claims.

"[C]auses of action under the ... UCL must be stated with reasonable particularity, which is a more lenient pleading standard than is applied to common law fraud claims." (*Gutierrez v. Carmax Auto Superstores California* (2018) 19 Cal.App.5th 1234, 1261; accord, *Quelimane Co. v. Stewart Title Guar. Co.* (1998) 19 Cal.4th 26, 46 [holding claims for unfair business practices need not be pled specifically]; see also *Graham v. Bank of America, N.A.* (2014) 226 Cal.App.4th 594, 614 [standing-causation requirement of unfair business practices is not met if the plaintiff would have suffered the same harm whether or not the defendant complied with law]; *Boschma v. Home Loan Center, Inc.* (2011) 198 Cal.App.4th 230, 254 [regarding the requirement to allege standing, including injury, and lost money or property, and alleging an economic injury also suffices].) Additionally, a cause of action for violation of Business and Professions Code section 17200 fails if it is predicated on a violation of statutory law that fails. (*Wolski v. Fremont Investment & Loan* (2005) 127 Cal.App.4th 347, 357.)

Here, Plaintiff has failed to allege facts sufficient to state a statutory cause of action under either RESPA or Civil Code section 2924. That is fatal to her claim for unfair business practices. Defendants' Demurrer to the sixth cause of action is **sustained**, with leave to amend.

7. Negligent Loan Servicing

Defendants demur to this cause of action on the grounds that it is not a recognized cause of action. Defendants further argue that even if construed as a common-law negligence claim, it fails for lack of duty.

Plaintiff implicitly concedes that negligent loan servicing is not a recognized cause of action by omitting to address this argument in opposition. (*Herzberg, supra*, 133 Cal.App.4th at p. 20.)

To state a cause of action for negligence, a plaintiff must allege: (1) the defendant owed the plaintiff a duty of care; (2) the defendant breached that duty, and (3) the breach proximately caused the plaintiff's damages or injuries. (*Lueras v. BAC Home Loans Servicing, LP* (2013) 221 Cal. App. 4th 49, 62.) "The existence of a duty of care owed by a defendant to a plaintiff is a prerequisite to establish a claim for negligence." (*Nymark v. Heart Fed. Savings & Loan Ass'n* (1991) 231 Cal. App. 3d 1089, 1096.)

In *Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905 the California Supreme Court held that the economic loss rule precludes imposing a tort duty of care on a lender when processing loan modification applications. This holding precludes a negligence claim arising solely out of the loan modification process. The FAC alleges that "Defendants owed a duty to exercise reasonable care" that "was established by federal and state statutes, including RESPA." (FAC at ¶ 69.) However, as described further above, Plaintiff does not have a cause of action under RESPA.

The FAC is silent with respect to what other statute might supply the required duty of care. Plaintiff has failed to allege the threshold essential element of negligence.

Defendants' demurrer to Plaintiff's seventh cause of action for negligent loan servicing is **sustained**,

with leave to amend.

8. Intentional Infliction of Emotional Distress

Defendants demur to this cause of action on the grounds that the FAC does not plead its essential elements: (1) extreme and outrageous conduct by the defendant with the intention of causing, or reckless disregard of the probability of causing, emotional distress; (2) severe or extreme emotional distress; and (3) actual and proximate causation. (*Hughes v. Pair* (2009) 46 Cal.4th 1035, 1050-1051.)

To satisfy the first element, conduct “must be so extreme as to exceed all bounds of that usually tolerated in a civilized community.” (*Potter v. Firestone Tire & Rubber Co.* (1993) 6 Cal. 4th 965, 1001 [quoting *Christensen v. Superior Ct.* (1991) 54 Cal. 3d 868, 903]; see also *McMahon v. Craig* (2009) 176 Cal. App. 4th 1502, 1515-16 [“Generally, conduct will be found actionable where the recitation of the facts to an average member of the community would arouse his resentment against the actor, and lead him to exclaim, Outrageous!”].)

In opposition, Plaintiff argues that her allegations at paragraphs 74 through 77 satisfy this standard. The Court cannot agree. These allegations are insufficient to support a cause of action for IIED.

Defendants’ demurrer to Plaintiff’s eighth cause of action for IIED is **sustained**, with leave to amend.

9. Violation of Rosenthal Fair Debt Collection Practices Act (Civ. Code § 1788 et seq.)

Defendants demur to this cause of action on the grounds that it lacks particularity, the FAC fails to plead that the HELOC qualifies as “consumer debt,” the complained about conduct does not qualify as “debt collection,” the Notice of Default’s recording and related statutorily-required foreclosure communications are privileged, and the Code-based allegations are barred by the Act’s one-year statute of limitations.

Plaintiff argues in opposition that “The FAC alleges that Defendants made false, deceptive, and misleading representations regarding the amount owed and the loan’s status, and engaged in harassing and oppressive collection conduct (FAC ¶¶ 80-81)—conduct distinct from the mechanics of the nonjudicial foreclosure process itself.” (Opp. at 7:19-22.) This argument fails to engage with the merits of Defendants’ grounds for their demurrer.

Defendants’ demurrer to Plaintiff’s ninth cause of action for violation of the Rosenthal Fair Debt Collection Practices Act is **sustained**, with leave to amend.

10. Declaratory Relief

Defendants demur to this cause of action on the ground that there is no actual controversy between the parties. Plaintiff does not oppose Defendants’ demurrer to this cause of action. Defendants’ demurrer to the tenth cause of action for declaratory relief is **sustained**, without leave to amend.

5. 9:00 AM CASE NUMBER: C24-01458
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STRIKE PORTIONS OF THE 1ST AMENDED COMPLAINT
FILED BY: SPECIALIZED LOAN SERVICING, LLC
TENTATIVE RULING:

Before the Court is Defendant Specialized Loan Servicing, LLC and Defendant NewRez, LLC dba